

access has become one of the most in-demand privileges to be restricted, apart from other revisions in the perks and eligibility criteria of credit cards. “Credit card providers had already started cutting down on lounge access around 2-3 months back. To quote some numbers, the cost of providing lounge access used to be 0.10 per cent of the total product cost till some time ago. That has now increased to 0.25 per cent,” says Gurjot Singh, Co-founder of fintech retail debt collections firm Collektio.

Several credit card providers such as HDFC Bank, SBI Card and Axis Bank have recently reduced their lounge benefits. For instance, HDFC Bank Regalia Credit cardholders need to spend a minimum of ₹1 lakh in a calendar quarter to avail of lounge benefits, starting from December 1, 2023. Similarly, Cashback SBI Card does not offer complimentary lounge access anymore, eliminating the earlier benefit of complimentary lounge access four times each year. “We have rationalised lounge access for the first time in the last couple of years. For some airports, it is very costly, and it’s not feasible to offer

it to all the customers. During the Covid-19 period, it wasn’t used; it’s only now that we are witnessing a surge in travel,” says Sanjeev Moghe, President and Head of Cards & Payments at Axis Bank.

Apart from lounge access, credit card companies are also curtailing other benefits available with the cards. Axis Bank has revised the terms of its Magnus Credit Card from September 1, 2023. In addition to losing its 25,000 points monthly milestone benefit, the annual fee for the card has been increased to ₹12,500, from ₹10,000 earlier.

COST AND PRESSURE

The depreciation in rewards and benefits available on credit cards is primarily linked to the economic conditions post Covid-19, notably inflation. With the rising cost of goods and services, experts say that credit card companies have been forced to re-evaluate the sustainability of their rewards programmes. “In this day and age, credit card firms and their business partners are faced with several challenges, all of which boil down to running the business

sustainably. These challenges range from meeting customer demands in the face of inflation to tough competition, and the need to improve margins,” says Adhil Shetty, CEO of BankBazaar.com. “As digital payments grow rapidly, and more and more Indians become eligible for a credit line, credit card firms will need to reassess their rewards programmes, among other things, to ensure sustainable growth,” he adds.

Data from BankBazaar shows that credit card numbers are rising rapidly in the country, with the total number of credit cards in existence having jumped nearly 4.8x in the past nine years to more than 94.7 million as of October 2023, from 19.6 million in 2014. As RBI, credit card expenditure was also at a historic high of ₹1.78 lakh crore in October, a 25 per cent surge from the previous month.

Another reason for the reduction in benefits is the decreasing revolver rate for the industry. With credit card users classified into three categories—transactors, who pay off their balances promptly; revolvers who carry overdue balance to the next month and accrue interest on the outstanding amount, and EMI users—experts say that revolvers are typically the most profitable cardholders for issuers. They add that there is also a growing practice among individuals, of opting for personal loans to settle their credit card balances. But paying their higher-interest-incurring credit card dues with low interest rate personal loans has contributed to the reduction of margins for credit card providers as they miss out on the interest they would have otherwise earned. An example is SBI Card’s revolver rate that has dropped to 24 per cent in Q2FY24, from 34 per cent in Q2FY21.

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